SGLD Build Strategy — Yield-Anchored Ladder (v2)

Total: £10,000 (~26 SGLD.L shares at current) | Vehicle: SGLD.L (Invesco Physical Gold ETC, USD-quoted on LSE)
Gold ref: 4,049 | 10Y nominal: 4.745% (top 0.8% of last-10y closes, ~95% up the decade range) | Driver: 10Y nominal yield (leading variable), not gold price

Thesis (unchanged core, reframed around yields)

Gold is suppressed by historically high nominal/real yields + firm dollar + hawkish-tilt Fed.
Gold is a **leading** indicator vs rates: it bottoms **at or slightly before** the rate-cycle peak
(measured: 2018 gold led by ~1 month; 2022 coincident; 2015 hike = the low). Therefore the gold
low tracks the **yield top and its turn**, not the yield level itself. The build scales in "gradually
to the top of the 10Y yield" — buying the max-suppression zone as it is made.

Ladder (anchor = 10Y nominal yield)

Tranche	Size	10Y trigger	Gold level (approx)	SGLD.L USD (approx)	Rationale
T1	20% (£2,000 ~7sh)	4.75 (now, 2026-08-01)	~4,049	388	Cheap optionality, in the gate
T2	20% (£2,000)	4.85	~3,980	~381	Adds as yield stretches toward 2023 peak
T3	20% (£2,000)	4.95–4.99	~3,900	~374	Decade-peak zone = max-suppression buy
T4	40% (£4,000)	2-sided trigger	—	—	(a) yield rolls over from peak → deploy all (confirms gold bottom); OR (b) 10Y breaks & holds above 4.99 still climbing → thesis shifts to more downside, this powder buys cheaper. Only one fires; keep dry until so

Blended cost if T1–T3 complete (~60% deployed): ~3,980 gold equiv; T4 dry for the resolution leg.

Kill switch (unchanged, mechanical)

- Delivered rate HIKES → stop adding
- DXY closes above ~101.6 → stop adding
- Gold **closing below ~3,650** (a confirmed break of the entire modeled floor — 2008-parity 3,737 / stretch zone 3,700; ~100 below the deepest modeled level) → stop adding: suppression has become something deeper/disorderly than the thesis assumed. Reassess, don't feed it.
- A decade-high yield does NOT revoke the kill switch. It remains the protection if "near the top" becomes "a new decade top."

Sizing / risk framing

- Position sized so a further **-10% gold move** (4,049 → ~3,650; SGLD ~388 → ~345) is survivable even if T1–T3 complete.
- T4 stays dry to absorb the deeper leg if the break-over-4.99 scenario fires.
- Discipline: do NOT front-load the full £10k at current yield. Earlier tranches small; largest firepower waits for the yield-tops / yield-breaks resolution.

Notes

- SGLD.L quotes in **USD** on LSE; GBP/share = USD / GBPUSD (1.3487 on 2026-07-31). SGLP.L (GBP-quoted line) trades near same GBP value (~288).
- Share ratio verified: 388.35 / 4,098.60 = 0.09475; ladder gold→SGLD applies this ratio.
- 10Y context: last-10y high 4.988% (2023-10-19); all-time (since 1996) 7.047%. Current 4.745% is below the 2023 peak but climbing (+8%/3M, +6%/1M).

Research, not investment advice. Data: yfinance, as of 2026-08-01.